

Table 76.5 Trading Tactics

Description	Bull Market	Bear Market
Hit ETA & EPA	24%	Not measured
Hit EPA	47%	38%
Stopped out	45%	43%
Ultimate high	7%	19%
Point 1	79%	75%
Point 2	43%	31%
Point 3	92%	89%
Point 4	63%	53%

I found that about a quarter of the patterns met the target on time. I did not test this in bear markets.

Hit EPA, stopped out, ultimate high. I pretended to trade the pattern and analyzed the exit reasons. I found that price hit the EPA line between a third (38%) to half (47%) of the time in bear/bull markets, respectively. A similar amount were stopped out, meaning price closed below the low at point 5. The rest never reached the EPA line but did reach the ultimate high. That is, price climbed to a peak and then tumbled by more than 20%.

Points 1 through 4. I checked how far up price climbed on its way to the ultimate high. For example, price will touch point 3 almost all the time, as one might expect (because it's the closest to turn 5). Points farther away, such as turn 2, see price reach it less than half the time.

You can use these percentages as guidance as you contemplate trading a rise to the EPA line or even the ultimate high.

Sample Trade

Figure 76.4 shows a sample trade Honey made using a Wolfe wave.

Price peaked in April and took a big dive (from D to E), but she couldn't find any news to account for the drop. After that, the stock rebounded and made its way up to B. At B the company announced second-quarter